

to the portfolio. The transition to greater diversification also helped improve performance. By 1994, I was trading about 20 markets, and I was no longer using market-specific models. Those changes made a big difference.

When you were only trading two or three markets, how did you decide which markets to trade?

That was part of the problem. I was cherry-picking the markets that looked best in backtesting.

It sounds like you were still making some rookie curve-fitting mistakes at that time.

Absolutely. I was still making some very bad data mining errors in those initial years.

Was the system you were using at Blue Ridge after you switched to using the same models on all markets an early version of what you ended up doing at QIM?

It was similar, but much less sophisticated—fewer models generated with far less computing power.

But it was conceptually similar?

Oh, absolutely. It was the same thing. It was just a very early version of it.

How did you come up with the idea for systems that seem to work well and that were neither trend following nor mean reversion?

[Woodruff looks for one of the many books stacked throughout his office, and finding it, begins to talk about it. Ironically, it is a book that he has not yet read.]

Before you go there, I asked you the question about how . . .

Oh, yeah, I was trying to avoid that question.

I know. [Woodruff laughs.] But I am not supposed to let you do that. Part of your breakthrough was your idea of trying to find common systems that work stably across markets. Another important concept was to trade multiple systems instead of a single system. But neither